

Valuing human life



Should a council hire an extra lifeguard for its swimming pool? To decide, the council has to compare the salary costs with the benefits in terms of lives saved. But how can one express the value of a life in money – surely life is priceless? Because resources are scarce, putting an infinite value on life leads to an absurdity: it might require the council to spend unlimited amounts on safety, to hire hundreds of lifeguards, install advanced CCTV cameras and build a poolside medical centre. Eventually resources would be taken away from schools, hospitals and rubbish collection. In reality, pools are staffed only to reduce risks to a reasonable level.

Economists argue that there must be an implicit value placed on lives to determine how much safety is worthwhile. They compute life values by seeing how much people are willing to pay to eliminate risks. One way is to look at the difference in wages

between risky and less risky jobs. Some studies have estimated the value of life in the US at around US\$7 million.